

4-7d Step 4. Enter the Adjusted Trial Balance

The adjusted trial balance is entered by combining the adjustments with the unadjusted balances for each account. The adjusted amounts are then extended to the Adjusted Trial Balance columns, as shown in [Exhibit 23](#).

Exhibit 23

Spreadsheet with Unadjusted Trial Balance, Adjustments, and Adjusted Trial Balance Entered

	A	B	C	D	E	F	G	H	I	J	K
1				NetSolutions							
2				End-of-Period Spreadsheet							
3				For the Two Months Ended December 31, 20Y3							
4		Unadjusted		Adjustments		Adjusted		Income Statement		Balance Sheet	
5		Trial Balance				Trial Balance					
6	Account Title	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.	Dr.	Cr.
7											
8	Cash	2,065				2,065					
9	Accounts Receivable	2,220		(d) 500		2,720					
10	Supplies	2,000			(a) 1,240	760					
11	Prepaid Insurance	2,400			(b) 200	2,200					
12	Land	20,000				20,000					
13	Office Equipment	1,800				1,800					
14	Accum. Depr.—Office Equip.				(f) 50		50				
15	Accounts Payable		900				900				
16	Wages Payable				(e) 250		250				
17	Unearned Rent		360	(c) 120			240				
18	Common Stock		25,000				25,000				
19	Dividends	4,000				4,000					
20	Fees Earned		16,340		(d) 500		16,840				
21	Rent Revenue				(c) 120		120				
22	Wages Expense	4,275		(e) 250		4,525					
23	Supplies Expense	800		(a) 1,240		2,040					
24	Rent Expense	1,600				1,600					
25	Utilities Expense	985				985					
26	Insurance Expense			(b) 200		200					
27	Depreciation Expense			(f) 50		50					
28	Miscellaneous Expense	455				455					
29		42,600	42,600	2,360	2,360	43,400	43,400				
30											

The adjusted trial balance amounts are determined by adding the adjustments to or subtracting the adjustments from the trial balance amounts. For example, the Wages Expense debit of \$4,525 is the trial balance amount of \$4,275 plus the \$250 adjustment debit.

To illustrate, the cash amount of \$2,065 is extended to the Adjusted Trial Balance Debit

column since no adjustments affected Cash. Accounts Receivable has an initial balance of \$2,220 and a debit adjustment of \$500. Thus, \$2,720 ($\$2,220 + \500) is entered in the Adjusted Trial Balance Debit column for Accounts Receivable. The same process continues until all account balances are extended to the Adjusted Trial Balance columns.

After the accounts and adjustments have been extended, the Adjusted Trial Balance columns are totaled to verify the equality of debits and credits. The total of the Debit column must equal the total of the Credit column.

Chapter 4: The Accounting Cycle: 4-7d Step 4. Enter the Adjusted Trial Balance

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